Apex Surface Services, Inc. and Subsidiary

Consolidated Financial Statements

December 31, 2024 and 2023

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Independent Auditors' Report

To the Board of Directors of Apex Surface Services, Inc. and Subsidiary

Opinion

We have audited the consolidated financial statements of Apex Surface Services, Inc. and Subsidiary (collectively, the Company), which comprise the consolidated balance sheets as of December 31, 2024 and 2023 and the related consolidated statements of income, shareholder's equity, and cash flows for the years then ended and the related notes to the consolidated financial statements. In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2024 and 2023 and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America and for the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern within one year after the date that the consolidated financial statements are available to be issued.

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists.

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error and design and perform audit procedures responsive to those risks.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings and certain internal control-related matters that we identified during the audit.

Reynolds & Carver LLP
Charlotte, North Carolina
March 28, 2025

Apex Surface Services, Inc. and Subsidiary
Consolidated Balance Sheets
December 31, 2024 and 2023

	2024	2023
Assets		
Current Assets		
Cash	$ 14,275,000	$ 27,941,200
Accounts receivable, net	158,436,500	137,882,000
Rebates receivable and other receivables	28,431,900	22,540,700
Inventory, net	229,847,600	189,215,400
Prepaid expenses and other current assets	7,905,900	5,305,700
Total current assets	**438,896,900**	**382,885,000**
Property and Equipment, Net	**112,864,200**	**107,526,700**
Other Assets		
Operating lease right-of-use assets	137,114,500	114,422,000
Website development costs, net	356,200	534,300
Goodwill, net	6,869,100	8,799,700
Deposits and other assets	9,175,500	7,661,800
Total other assets	**153,515,300**	**131,417,800**
Total assets	**$ 705,276,400**	**$ 621,829,500**
Liabilities and Shareholder's Equity		
Current Liabilities		
Accounts payable	$ 77,523,400	$ 70,185,300
Accrued wages and related liabilities	19,829,500	17,672,900
Other liabilities	31,311,900	25,061,700
Operating lease liabilities, current portion	9,830,000	8,105,500
Total current liabilities	**138,494,800**	**121,025,400**
Long-Term Liabilities		
Line of credit	15,450,000	-
Operating lease liabilities, net of current portion	134,790,800	112,049,600
Total other liabilities	**150,240,800**	**112,049,600**
Contingencies	**4,120,000**	**583,200**
Total liabilities	**292,855,600**	**233,658,200**
Shareholder's Equity		
Common stock, no par value; 1,000,000 shares authorized; 198,696 shares issued and outstanding	-	-
Additional paid-in capital	2,493,200	2,366,400
Unearned ESOP shares	(30,572,200)	(32,923,800)
Retained earnings	440,499,800	418,728,700
Total shareholder's equity	**412,420,800**	**388,171,300**

	2024	2023
Total liabilities and shareholder's equity	**$ 705,276,400**	**$ 621,829,500**

See notes to consolidated financial statements

Apex Surface Services, Inc. and Subsidiary
Consolidated Statements of Income
Years Ended December 31, 2024 and 2023

	2024	2023
Net Sales	**$ 1,081,661,000**	**$ 984,218,900**
Cost of Sales	**738,410,600**	**668,602,400**
Gross profit	343,250,400	315,616,500
Operating Expenses	**319,255,100**	**265,086,800**
Income from operations	**23,995,300**	**50,529,700**
Other Income (Expense)		
Finance charges	2,364,700	1,687,100
Contingency expense	(4,120,000)	-
Impairment loss	(903,200)	-
Interest expense	(291,500)	(134,800)
Loss on disposal of property and equipment	(8,800)	(17,300)
Other income	2,670,400	1,471,900
Total other (expense) income, net	**(288,400)**	**3,006,900**
Income before provision for state income taxes	23,706,900	53,536,600
Provision for State Income Taxes	**1,935,800**	**507,800**
Net Income	**$ 21,771,100**	**$ 53,028,800**

See notes to consolidated financial statements

Apex Surface Services, Inc. and Subsidiary

Consolidated Statements of Shareholder's Equity
Years ended December 31, 2024 and 2023

	Common Stock Shares	Common Stock Amount	Additional Paid-In Capital	Unearned ESOP Shares	Retained Earnings	Total
Balance, December 31, 2022	198,696	$ -	$ 2,366,400	$ -	$ 365,699,900	$ 368,066,300
Redemption of shares from ESOP and issuance of unearned ESOP shares to ESOP	-	-	-	(35,275,400)	-	(35,275,400)
Unearned ESOP shares committed to be released	-	-	-	2,351,600	-	2,351,600
Net income	**-**	**-**	**-**	**-**	**53,028,800**	**53,028,800**
Balance, December 31, 2023	198,696	-	2,366,400	(32,923,800)	418,728,700	388,171,300
Unearned ESOP shares legally released	-	-	126,800	2,351,600	-	2,478,400
Net income	-	-	-	-	21,771,100	21,771,100
Balance, December 31, 2024	**198,696**	**$ -**	**$ 2,493,200**	**$ (30,572,200)**	**$ 440,499,800**	**$ 412,420,800**

See notes to consolidated financial statements

Apex Surface Services, Inc. and Subsidiary

Consolidated Statement of Cash Flows

Years ended December 31, 2024 and 2023

	2024	2023
Cash Flows From Operating Activities		
Net income	$ 21,771,100	$ 53,028,800
Adjustments to reconcile net income to net cash flows provided by operating activities:		
ESOP contribution expense	2,475,700	2,351,600
Depreciation and amortization of property and equipment	11,767,900	9,701,400
Amortization of goodwill	1,930,600	1,930,600
Amortization of capitalized website development costs	178,100	178,000
Amortization of operating lease right-of-use assets	10,843,100	10,897,700
Impairment loss	903,200	-
Net changes to operating lease right-of-use assets and lease liabilities resulting from lease remeasurement	(467,200)	-
Loss on disposal of property and equipment	8,800	17,300
Long-term debt forgiveness income	-	(306,600)
Change in operating assets and liabilities:		
Accounts receivable, net	(20,851,700)	(524,600)
Rebates receivable and other receivables	(6,085,500)	(220,200)
Inventory, net	(40,659,900)	13,331,100
Prepaid expenses and other current assets	(2,431,600)	(611,000)
Deposits and other assets	(1,513,700)	(1,345,800)
Accounts payable	7,193,900	11,668,900
Accrued wages and related liabilities	2,167,200	(590,500)
Other liabilities	6,299,700	850,300
Operating lease liabilities	(9,218,500)	(10,630,300)
Contingencies	3,536,800	(189,300)
Net cash flows from operating activities	**(11,346,600)**	**89,537,600**
Cash Flows From Investing Activities		
Purchases of property and equipment	(17,796,500)	(18,131,200)
Proceeds from sale of property and equipment	106,300	139,400
Payment of ESOP loan proceeds	-	(35,275,500)
Net cash flows from investing activities	**(17,690,200)**	**(53,267,300)**
Cash Flows From Financing Activities		
Net proceeds from (payments on) line of credit	15,450,000	(8,533,000)
Principal payments on long-term debt	-	(517,400)
Net cash flows from financing activities	**15,450,000**	**(9,050,400)**
Net change in cash	(13,586,800)	27,219,900
Cash, Beginning	**27,941,200**	**721,300**

	2024	2023
Cash, Ending	**$ 14,354,400**	**$ 27,941,200**
Supplemental Disclosure of Cash Flow Information		
Cash paid for interest	**$ 291,500**	**$ 134,800**
Cash paid for state income taxes	**$ 367,700**	**$ 1,324,800**

See notes to consolidated financial statements

1. Description of Operations and Summary of Significant Accounting Policies

Description of Operations and Basis of Presentation

The consolidated financial statements include the accounts of Apex Surface Services, Inc. and its wholly-owned subsidiary, Meridian Properties of Carolina, LLC (collectively, the Company). All material intercompany transactions have been eliminated in consolidation. Apex Surface Services, Inc., incorporated in July 1998, is a wholesale distributor of industrial, maintenance, and surface-treatment supplies with branches across North Carolina, South Carolina, Georgia, and Virginia. Meridian Properties of Carolina, LLC, formed in May 2021, is a real estate holding company. The accompanying consolidated financial statements have been prepared using the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America (GAAP).

Use of Estimates

The preparation of consolidated financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities, the disclosure of contingent assets and liabilities and the reported revenues and expenses in the financial statements and accompanying notes. Significant estimates include the allowance for credit losses, reserve for slow-moving and obsolete inventory, amortization of goodwill, depreciation expense, and assumptions used to determine operating lease right-of-use assets and related lease liabilities. Actual results could differ from those estimates.

Cash and Cash Equivalents

The Company considers all short-term, highly liquid investments with an original maturity of three months or less to be cash equivalents. As of December 31, 2024 and 2023, the Company did not have any cash equivalents.

Concentrations of Credit Risk

Financial instruments that potentially subject the Company to concentrations of credit risk consist principally of cash. Risks associated with cash are mitigated by banking with creditworthy institutions. Such balances with any one institution may, at times, be in excess of federally insured amounts. The Company has not experienced losses in such accounts and believes it is not exposed to significant credit risk.

Accounts Receivable

Accounts receivables are recorded at the invoiced amounts and are presented on the consolidated balance sheets net of the allowance for credit losses. Finance charges on delinquent accounts receivables are recorded as income when received. The Company generally does not require collateral but has the ability to file liens for outstanding receivables. The Company runs credit checks on customers before extending credit.

The Company recognizes an allowance for credit losses for accounts receivables to present the net amount expected to be collected as of the balance sheet date. The allowance is based on credit losses expected to arise over the life of the asset and includes consideration of past events, current conditions, and reasonable and supportable forecasts. Receivables are written off when the Company determines that such receivables are deemed uncollectible.

For the years ended December 31, 2024 and 2023, changes in the allowance for credit losses for accounts receivable were as follows:

	2024	2023	
Allowance for credit losses, beginning balance	$ 3,267,300	$ 2,570,300	
Credit loss expense	2,110,500	2,183,100	
Bad debt write-offs	(2,048,500)	(1,476,100)	
Allowance for credit losses, ending balance	**$ 3,329,300**	**$ 3,267,300**	**grand**

Vendor Rebates Receivable

The Company participates in volume rebate programs with various vendors in the form of quantity discounts, credits, and refunds. Rebate income is initially recognized as a reduction of inventory and recorded to cost of goods sold as sales occur. At December 31, 2024 and 2023, no allowance for credit losses for vendor rebates receivable was recorded.

Inventory

Inventory consists of industrial and surface-treatment supplies and is stated at the lower of cost or net realizable value. A reserve for obsolete and slow-moving inventory is estimated based on management analysis of the aging and condition of inventory. At December 31, 2024 and 2023, the reserve for obsolete and slow-moving inventory was $7,211,800 and $8,433,100, respectively.

Property and Equipment

Property and equipment in excess of $5,000 are stated at cost, less accumulated depreciation. Depreciation and amortization is recorded using the straight-line method over estimated useful lives ranging from five to forty years.

Website Development Costs

Website development costs incurred during the preliminary project stage are expensed as incurred. Direct costs incurred during the application development stage are capitalized and amortized on a straight-line basis over an estimated useful life of seven years.

Lease Right-of-Use Assets and Lease Liabilities

At lease inception, leases are classified as either finance leases or operating leases with the associated right-of-use asset and lease liability measured at the net present value of future lease payments. At December 31, 2024 and 2023, the Company has only operating leases. The Company elected not to apply lease recognition requirements for leases with a term of 12 months or less.

Long-Lived Assets

The Company reviews long-lived assets for impairment whenever events or changes in circumstances indicate that carrying value may not be recoverable. During the year ended December 31, 2024, the Company determined that the carrying value of certain operating lease right-of-use assets and related leasehold improvements were impaired due to a scheduled future closure of two branch locations prior to the end of the related lease terms. Related impairment loss recorded during the year ended December 31, 2024 amounted to $903,200.

Goodwill

The Company has goodwill as a result of acquisitions accounted for as business combinations. The Company elected the private company goodwill accounting alternative to amortize goodwill over an estimated useful life of 10 years. Management believes that there were no triggering events indicating that the fair value of the entity may be below its carrying amount as of December 31, 2024 and 2023.

Self-Insurance

The Company is self-insured for auto insurance and workers' compensation losses on the first $100,000, on a per occurrence basis, with claims between $100,000 and $350,000 covered by a captive insurance company and claims over $350,000 covered by another insurance company. At December 31, 2024 and 2023, the Company had an IBNR reserve of approximately $773,400 and $612,400, respectively.

Revenue Recognition

Revenues result from the sale of the Company's industrial supply products to customers. Revenue is recognized when performance obligations under contracts with customers are satisfied. Contracts generally consist of executed purchase orders and invoices accompanied by terms and conditions. Control of products transfers at the point in time when goods are shipped or delivered according to shipping terms, title transfer, and risk of loss.

For direct shipments, the Company acts as a principal as it is responsible for order fulfillment and has discretion in setting prices. Customers may be entitled to payment discounts and rebates, which are treated as variable consideration. The Company recognizes revenue net of estimated variable consideration to the extent it is probable that a significant reversal will not occur.

	January 1, 2023	December 31, 2023	December 31, 2024
Accounts receivable, net	$ 136,188,900	$ 137,882,000	$ 158,436,500
Deferred revenue	10,169,300	7,314,900	8,998,800

Income Taxes

Apex Surface Services, Inc. has elected to be an S corporation under Internal Revenue Service regulations and does not pay taxes on its income. Instead, income and deductions pass through to its shareholder for inclusion in its tax returns. At December 31, 2024 and 2023, Apex Surface Services, Inc. was fully owned by its Employee Stock Ownership Plan. For the years ended December 31, 2024 and 2023, the provision for state income taxes consists of current tax expense of $1,935,800 and $507,800, respectively.

Each year, management considers whether any material tax position the Company has taken is more likely than not to be sustained upon examination. Management believes that any positions taken are supported by substantial authority. Meridian Properties of Carolina, LLC is a single member LLC and considered a disregarded entity for federal tax purposes. For state reporting purposes, the subsidiary is subject to applicable gross receipts tax and a minimum franchise tax.

Advertising

Advertising costs are expensed as incurred. For the years ended December 31, 2024 and 2023, advertising costs were $3,542,300 and $4,533,500, respectively.

Subsequent Events

Management has evaluated events and transactions for potential recognition or disclosure through March 28, 2025, which represents the date the consolidated financial statements were available to be issued.

2. Property and Equipment

At December 31, 2024 and 2023, property and equipment consists of the following:

	2024	2023	
Buildings and improvements	$ 61,598,000	$ 60,607,500	
Furniture and fixtures	16,076,800	19,141,700	
Machinery and equipment	27,475,200	23,575,300	
Vehicles	32,920,400	29,362,000	
Leasehold improvements	9,719,500	9,326,700	
	147,789,900	142,013,200	total
Less accumulated depreciation and amortization	(70,463,800)	(65,182,700)	
	77,326,100	76,830,500	total
Land	26,060,500	26,060,500	
Construction in progress	9,477,600	4,341,600	
Property and equipment, net	**$ 112,864,200**	**$ 107,526,700**	**grand**

3. Website Development Costs

At December 31, 2024 and 2023, website development costs consists of the following:

	2024	2023	
Website development costs	$ 1,246,200	$ 1,246,200	
Less accumulated amortization	(890,000)	(711,900)	
Website development costs, net	**$ 356,200**	**$ 534,300**	**grand**

At December 31, 2024, future annual website development costs amortization expense is as follows:

Years ending December 31:

2025	$ 178,100
2026	178,100
	$ 356,200

4. Goodwill

At December 31, 2024 and 2023, goodwill consists of the following:

	2024	2023	
Goodwill	$ 19,304,500	$ 19,304,500	
Less accumulated amortization	(12,435,400)	(10,504,800)	
Goodwill, net	**$ 6,869,100**	**$ 8,799,700**	**grand**

At December 31, 2024, future annual goodwill amortization expense is as follows: 2025 - $1,930,600; 2026 - $1,329,900; 2027 - $902,500; 2028 - $902,500; 2029 - $902,500; Thereafter - $901,100; total - $6,869,100.

5. Line of Credit

The Company has a line of credit agreement with a bank with a borrowing capacity of $61.8 million which matures in May 2026. The borrowing capacity is reduced by an outstanding letter of credit of $51,500 for a workers' compensation insurance reserve. The line and letter of credit are collateralized by substantially all assets of the Company. At December 31, 2024, outstanding borrowings on the line of credit were $15,450,000 and the amount available for borrowing was $46,298,500, net of the outstanding letter of credit.

6. Leases

The Company leases certain real estate, equipment, and vehicles under operating lease agreements. Right-of-use assets represent the Company's right to use an underlying asset for the lease term, while lease liabilities represent the Company's obligation to make lease payments arising from the lease. In determining the discount rate used to measure the right-of-use assets and lease liabilities, the Company uses the rate implicit in the lease, or if not readily available, a risk-free rate based on U.S. Treasury notes or bond rates for a similar term.

At December 31, 2024 and 2023, scheduled future annual minimum operating lease payments are as follows:

	2024	2023	
2025	$ 13,857,700	$ 11,068,600	
2026	13,971,100	11,024,500	
2027	14,023,900	11,203,800	
2028	14,359,500	11,175,000	
2029	14,591,800	11,360,300	
Thereafter	111,433,800	85,139,000	
Total lease payments	182,237,800	140,971,200	total
Less present value discount	(37,623,700)	(20,820,000)	
Total operating lease liabilities	144,614,100	120,151,200	total
Less operating lease liabilities, current portion	(9,830,000)	(8,105,500)	
Operating lease liabilities, net of current portion	**$ 134,784,100**	**$ 112,045,700**	**grand**

For the year ended December 31, 2024 and 2023, lease expense consists of operating lease expense of $14,623,400 and $11,354,000; short-term lease expense of $1,529,900 and $1,515,600; and variable lease expense of $8,000 and $0, respectively. At December 31, 2024 and 2023, the weighted average discount rate was 2.95% and 2.44%, respectively. The weighted average remaining lease term was 12.88 years and 12.49 years, respectively.

7. Commitments and Contingencies

Deferred Compensation

During the years ended December 31, 2024 and 2023, the Company had deferred compensation agreements with two key employees providing for annual payments of $257,500 and $339,900 during 2024 and $103,000 and $339,900 during 2023. The deferred compensation arrangement is contingent on continued employment. Aggregate deferred compensation accrued and paid during the years ended December 31, 2024 and 2023 was $597,400 and $442,900, respectively.

Contingencies

The Company is currently party to an employee break time and personal mobile device reimbursement lawsuit. At December 31, 2024, the Company estimated its probable loss exposure to be $4,120,000, which is included in contingencies on the consolidated balance sheets. The Company was party to a workers compensation case that was settled in August 2024; estimated exposure at December 31, 2023 was $583,200.

8. Employee Stock Ownership Plan

The Company has an ESOP which provides retirement benefits for eligible employees. Under the terms of the ESOP, the Company will issue a put option to each participant receiving a distribution of Company stock shares from the ESOP. The fair value of the Company is determined using inputs that are generally unobservable and based on management estimates and assumptions that market participants would use in pricing the asset.

In December 2023, the Company redeemed 33,625 shares from the ESOP and simultaneously re-issued 33,625 unearned shares to the ESOP through an internally leveraged loan in the amount of $35,275,400. The loan bears interest at 6.05% per annum and is payable in 15 equal annual installments of principal and interest starting in September 2024. During the years ended December 31, 2024 and 2023, the Company recognized ESOP contribution expense related to release/commitment to release of unearned ESOP shares of $2,475,700 and $2,351,600, respectively. At December 31, 2024 and 2023, the ESOP held 100% of the Company's 198,696 common stock shares issued and outstanding.

9. 401(k) Profit Sharing Plan

The Company has a 401(k) plan which provides retirement benefits for eligible employees. The Company is required to contribute a safe-harbor contribution that matches each participant's deferral up to 3% of compensation and 50% of the participant's deferral between 3% and 5% of compensation. During the years ended December 31, 2024 and 2023, the Company made contributions to the plan of $4,337,300 and $3,520,400, respectively.